

## MEMORANDUM

**To:** Mary Wagoner

**From:** Sarah Wetmore, Wetmore Research and Strategy, LLC

**RE: Draft** Head Tax Research

**Date:** April 21, 2026

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### **Background:**

The City of Chicago imposed an Employer's Expense Tax, also known as the "head tax," from 1973 until its final repeal at the end of 2013. The original rate was \$3 per full time employee per month for each firm employing 15 or more workers within Chicago. A total of \$30.2 million was collected in 1974, the first full year the tax was in effect. The tax was upheld by the Illinois Supreme Court the same year.<sup>1</sup>

The tax was reduced in 1982 to \$2 per employee per month and subsequently raised to \$5 per employee per month in 1984.<sup>2</sup> The rate was reduced again to \$4 per full time employee working at least 50% of time within the city limits in 1995 and the threshold increased to 50 employees for the tax to go into effect.<sup>3</sup> Several mayors, including Jane Byrne, Harold Washington, and Richard M. Daley, all expressed intentions to fully repeal the tax but were unable to do so. The head tax was phased out starting in 2012, when it was reduced to \$2 per employee per month and fully phased out by December 31, 2013.

- Raised \$23.5 million in 2011, the last full year in effect<sup>4</sup>
- According to the Chicagoland Chamber, in 1999 approximately 2,600 businesses and 500,000 jobs were affected by the head tax<sup>5</sup>
- According to a press release from then-Mayor Emanuel's office dated November 2, 2011, in 2009 and 2010 approximately 2,700 Chicago companies registered and paid the head tax<sup>6</sup>

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<sup>1</sup> Mitchell Locin, "Top court upholds \$3 city head tax," *Chicago Tribune*, July 2, 1974.

<sup>2</sup> Thom Shanker and Patrick Reardon, "\$5 monthly head tax OKd: City council ends budget battle," *Chicago Tribune*, December 22, 1983.

<sup>3</sup> Robert Davis, "Not unanimous, but city budget approved," *Chicago Tribune*, November 17, 1994.

<sup>4</sup> City of Chicago, "FY2013 Budget Overview," p. 158.

<sup>5</sup> Amanda Milligan, "[Chamber no head tax champ](#)," *Crain's Chicago Business*, October 12, 2000.

<sup>6</sup> Mayor's Press Office, City of Chicago, "Mayor Emanuel Applauds City Council for Ending Head Tax for Chicago Businesses, Pledge to end tax that punishes Chicago businesses honored, phase out will be complete in 2014," November 2, 2011.

- According to a WBEZ analysis, between 2000 and 2013 approximately 2,200 companies paid the head tax each year. Of those, on average only about 188 employed 500 or more people, accounting for on average 225,000 jobs each year or 21% of jobs in Chicago.<sup>7</sup>

### Head taxes imposed in Seattle

Seattle has twice implemented versions of a head tax, each with different provisions and the second version never going into effect.

- 2007-2009
  - \$25 per full time, full year employee of a business with revenue greater than \$80,000; raised \$5 million annually for transportation purposes<sup>8</sup>
  - “Complex” exemptions to encourage employees to commute via other modes than single occupant motor vehicles<sup>9</sup>
  - Employers struggled to track employee commute methods, creating enforcement challenges for the City in confirming whether employers were paying the correct amount<sup>10</sup>
- 2018
  - Maximum of \$275 per employee for companies making more than \$20 million per year taxable gross income within Seattle, projected revenue of \$47 million/year for programs to address homelessness and build affordable housing<sup>11</sup>
  - Applied to part and full time employees<sup>12</sup> and applied to hours worked within the City of Seattle.<sup>13</sup>
  - Exemptions for non-profit, hospitals, healthcare providers with a significant Medicaid/Medicare population, federal and state governments, and other businesses exempt from business taxation in Seattle<sup>14</sup>

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<sup>7</sup> Mariah Woelfel and Amy Qin, “[Chicago's head tax was long called a job killer, but is there evidence to back that up?](#),” WBEZ Chicago, December 12, 2025.

<sup>8</sup> City of Seattle, “[Director Rule Implementing Seattle Business Tax Ordinance Rule 5-921](#),” February 5, 2008 and [Seattle Progressive Revenue Task Force Meeting Notes](#), January 4, 2018.

<sup>9</sup> [Seattle Progressive Revenue Task Force Meeting Notes](#), January 4, 2018.

<sup>10</sup> [Seattle Progressive Revenue Task Force Meeting Notes](#), January 4, 2018.

<sup>11</sup> Taxnews.ey.com, “[Seattle, Washington City Council votes to repeal the employer payroll tax](#),” June 13, 2018.

<sup>12</sup> Moss Adams, “[City of Seattle Imposes Employee Hours Tax](#),” May 22, 2018.

<sup>13</sup> Clark Nuber, “[The Seattle Head Tax – What You Need to Know](#),” June 4, 2018

<sup>14</sup> Moss Adams, “[City of Seattle Imposes Employee Hours Tax](#),” May 22, 2018.

- Had been scheduled to take effect 1/1/2019, but was repealed one month later after a campaign by Amazon and other Seattle-based businesses. They had pledged to put a repeal referendum on the ballot.<sup>15</sup>

### Head tax imposed in Denver

The City of Denver, Colorado has imposed an Occupational Privilege Tax or head tax since 1969. It applies to both employees and employers and was first imposed at a rate of \$2 per month for each part of the tax. The rate was increased to the current \$5.75 and \$4.00 for the Employee and the Business taxes, respectively, in 1988.<sup>16</sup>

- Employee threshold of at least \$500 per month in earnings to have the employee tax withheld, but only once if employed by more than one Denver employer<sup>17</sup>
- Employer is required to pay the Business OPT at a rate of \$4.00 per month for each owner, partner, or manager engaged in business in Denver regardless of how much they earn and regardless of whether a permanent location is maintained in Denver<sup>18</sup>
- Projected to generate approximately \$57 million in fiscal year 2026<sup>19</sup>
- Proceeds from the tax are spent on municipal services and facilities

### **How Did Seattle Estimate Head Tax Revenue for the 2018 Tax?**

The Seattle Progressive Revenue Task Force started from an estimate of the employer head tax eligible full-time equivalent positions of 448,622 based on a 2015 estimate by the Puget Sound Regional Council. They used this estimate to model potential structures and exemptions. The estimate of FTEs excluded the public sector and positions not covered by unemployment insurance. They used a “historic average of approx. 0.8 FTEs per employment position.”<sup>20</sup> The Task Force additionally used information from the 2007-2009 head tax about what percentage of the head tax was collected from businesses with different levels of gross receipts

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<sup>15</sup> Jared Walczak, “[Seattle’s New Business Head Tax Law is Deeply Unpopular](#),” Tax Foundation Blog, May 18, 2018.

<sup>16</sup> City and County of Denver, Colorado, [Tax Guide: Topic No. 61 OCCUPATIONAL PRIVILEGE TAX \(OPT or HEAD TAX\)](#)

<sup>17</sup> City and County of Denver, Colorado [TAX GUIDE Topic No. 61 OCCUPATIONAL PRIVILEGE TAXES \(OPT or HEAD TAX\)](#)

<sup>18</sup> City and County of Denver, Colorado [TAX GUIDE Topic No. 61 OCCUPATIONAL PRIVILEGE TAXES \(OPT or HEAD TAX\)](#)

<sup>19</sup> City of Denver, “[2026 Final Budget](#),” November 2025, p. 80.

<sup>20</sup> Erik Sund, Seattle City Council - Central Staff, “[City Employee Hours Tax - Examples of Potential Revenues Raised](#),” Presented at the Seattle Progressive Revenue Task Force meeting on January 18, 2018.

to model different levels of exemptions. See these calculations below from a Task Force handout. Some of the exemptions related to discouraging motor vehicle use by commuters were noted to complicate the calculations somewhat. As detailed above, the final approved version of the employee head tax was different from these calculations, but they show where the estimates began.

**I. EHT Base: Estimated Eligible Employment in Full-Time Equivalent (FTE) Positions**

448,622

- 2015 estimate by the Puget Sound Regional Council
- Excludes public sector positions and those not covered by unemployment insurance
- Uses historic average of approx. 0.8 FTEs per employment position (Department of Labor & Industries)

**II. Examples of Exemptions - Impact of Potential Exemptions Based on Gross Receipts**

|                                                                                      |     |
|--------------------------------------------------------------------------------------|-----|
| 1. % of 2009 EHT \$ paid by businesses with gross receipts of \$5 million+ per year  | 56% |
| 2. % of 2009 EHT \$ paid by businesses with gross receipts of \$8 million+ per year  | 49% |
| 3. % of 2009 EHT \$ paid by businesses with gross receipts of \$10 million+ per year | 45% |

- Based on the City's prior EHT, which included exemptions based on employee commute modes.
- This may introduce errors if commute mode (or application of exemptions) varied by business size.

**III. Estimated Annual EHT Revenues by Rate**

| Exemptions | \$50/FTE/Yr<br>Tax Rate | \$100/FTE/Yr<br>Tax Rate | \$150/FTE/Yr<br>Tax Rate |
|------------|-------------------------|--------------------------|--------------------------|
| 1. None    | \$ 22,431,100           | \$ 44,862,200            | \$ 67,293,300            |

- All estimates assume 100% compliance

**IV. Estimated Annual EHT Revenues by Rate and Gross Receipts Exemption Levels**

| Exemptions                               | \$50/FTE/Yr<br>Tax Rate | \$100/FTE/Yr<br>Tax Rate | \$150/FTE/Yr<br>Tax Rate |
|------------------------------------------|-------------------------|--------------------------|--------------------------|
| 1. Businesses with gross receipts <\$5M  | \$ 12,471,692           | \$ 24,943,383            | \$ 37,415,075            |
| 2. Businesses with gross receipts <\$8M  | \$ 10,946,377           | \$ 21,892,754            | \$ 32,839,130            |
| 3. Businesses with gross receipts <\$10M | \$ 10,138,857           | \$ 20,277,714            | \$ 30,416,572            |

- All estimates assume 100% compliance

## Evaluating Mayor Brandon Johnson's Head Tax Revenue Estimates

What do we know about the most recently proposed version of the tax?

- \$33/month or \$396/ year for employers with more than 500 employees
- Would apply to employees working 50% of the time or more in the City of Chicago. Chicago Budget Director Annette Guzman told the *Chicago Tribune* that "any workers who live outside the city and don't work in the office at least three days a week wouldn't be taxed"<sup>21</sup>

<sup>21</sup> Editorial Board, "[Editorial: Here's yet another problem with Mayor Brandon Johnson's head tax,](#)" *Chicago Tribune*, October 29, 2025.

- Mayor Johnson said at a press conference that the updated head tax would apply to 175 companies<sup>22</sup>
- Updated revenue estimate: \$82 million
- According to Budget Director Annette Guzman, the projections of revenue are based on data from when the head tax was phased out in 2013
- \$82 million raised at a rate of \$396/year implies 207,070 employees covered by the tax

### WBEZ Analysis<sup>23</sup>

The WBEZ analysis cited above used data obtained through a FOIA request. They found that of the approximately 2,200 companies that paid a head tax each year between 2000 and 2013, on average only about 188 employed 500 or more people, accounting for on average 225,000 jobs each year or 21% of jobs in Chicago. This would be close to the implied rate of employees covered of 207,070 based on numbers cited by the Johnson Administration. However, such an estimate would not account for changes in work from home since the COVID-19 pandemic or changes in the number of businesses with 500 plus employees in the city.

### What do we need to make an independent back-of-the-envelope estimate?

- The number of full time private sector employees employed at firms with greater than 500 employees in Chicago
- An estimate of how many employees live outside of Chicago but commute into the office either more than 50% of the time or 3 days a week OR an estimate of rates of work from home applied to the number of employees who live outside of Chicago
- An estimate of how many employees live and work in Chicago since if they work from home they still count

Available datasets and their limitations:

- Census Bureau data available through the “On the Map” interface<sup>24</sup> has:
  - The number of Chicago private sector employees who work for firms with more than 500 employees, but this is a **national firm size number**, not a Chicago-based number and so is likely to be larger than the universe of employers who have more than 500 employees *in Chicago*. This would result in a **less conservative estimate**.

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<sup>22</sup> Heather Cherone, “[Third Time a Charm? Mayor Johnson Proposes New Corporate Tax Hike to Break Budget Deadlock](#),” WTTW News, December 9, 2025.

<sup>23</sup> Mariah Woelfel and Amy Qin, “[Chicago's head tax was long called a job killer, but is there evidence to back that up?](#),” WBEZ Chicago, December 12, 2025.

<sup>24</sup> [OnTheMap](#)

- The total number of private sector employees who a) live and work in Chicago, b) live in Chicago but work outside of the city, and c) work in the city but don't live there.
- The Illinois Department of Employment Security (IDES) Quarterly Census of Employment & Wages (QCEW) produces a comprehensive quarterly count of employment and wages for workers covered under the Illinois Unemployment and Insurance (UI) Act and the Federal Unemployment Compensation programs.
  - The number of private sector employees who work at establishments of different sizes by Local Workforce Investment Areas (LWIAs)
  - There is an LWIA that is Cook County, LWIA 7, but there are not data by establishment size generated for Chicago alone
  - Establishments are NOT the same as “firms” or “unitary business groups”<sup>25</sup>
    - The Bureau of Labor Statistics, which uses IDES QCEW as raw data in its employment statistics, describes establishment: “an establishment is commonly understood as a single economic unit, such as a farm, a mine, a factory, or a store, that produces goods or services. Establishments are typically at one physical location and engaged in one, or predominantly one, type of economic activity for which a single industrial classification may be applied. An establishment is in contrast to a firm, or a company, which is a business and may consist of one or more establishments, where each establishment may participate in a different predominant economic activity.”<sup>26</sup>
  - Therefore, the count of establishments with 500+ employees means only worksites that have more than 500 employees, not a FIRM that has more than 500 employees across a number of physical locations. Therefore, the number of employers with 500+ employees in Chicago is likely to be higher than the number provided in the IDES data and using the IDES data would result in a more conservative estimate.

### Estimate based on US Census Data for Chicago

The following charts are pulled from 2023 data included in the US Census Bureau's On the Map interface.

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<sup>25</sup> Unitary business group is the term used by the City of Chicago Department of Revenue in a 2005 ruling on the Employer's Expense Tax. Chicago Department of Revenue, “[Employer's Expense Tax Ruling 2](#),” September 2005.

<sup>26</sup> Bureau of Labor Statistics, Handbook of Methods, “[Quarterly Census of Employment and Wages: Concepts](#),” 2025.

## In-Area Employment Efficiency (All Private Jobs)

|                                                   | 2023      |        |
|---------------------------------------------------|-----------|--------|
|                                                   | Count     | Share  |
| Employed in the Selection Area                    | 1,316,499 | 100.0% |
| Employed and Living in the Selection Area         | 666,040   | 50.6%  |
| Employed in the Selection Area but Living Outside | 650,459   | 49.4%  |

## Jobs by Firm Size

|                   | 2023    |       |
|-------------------|---------|-------|
|                   | Count   | Share |
| 0-19 Employees    | 168,931 | 12.8% |
| 20-49 Employees   | 96,354  | 7.3%  |
| 50-249 Employees  | 181,142 | 13.8% |
| 250-499 Employees | 74,785  | 5.7%  |
| 500+ Employees    | 795,287 | 60.4% |

Important Notes: Firm Size is available for All Private Jobs only. For firms 1 year and older, firm size is the national size of the firm in March of the <i>previous</i> year.

From these numbers, we can see that about 60% of private sector workers in Chicago are employed at firms with a national size of 500+. Additionally, of the 1.3 million private sector employees in Chicago, about 51% both live and work in the City, while 49% are employed in the city but live outside.

Working from the count of workers employed at firms in Chicago with 500+ workers nationwide (795,287), we have to estimate how many of them worked full time. According to the BLS in 2023 approximately 80.7% of US employees worked full time.<sup>27</sup> So an estimate of full time employees would be about 641,797. Using the percentage of employees working and living in Chicago would imply that 324,749 of those employees would definitely be subject to the head tax because they both live and work in Chicago.

Next would be an estimate of the percentage of the remaining full time employees who live outside of Chicago and work in the office a sufficient portion of the time to be subject to the head tax. There are a number of different estimates of the percentage of workers who work from home at least part of the time since the pandemic. The dataset included in the FRED database compiled by a monthly online survey run jointly by the University of Chicago, ITAM, MIT, and Stanford University is what I will use here. Their most recent survey shows that 62% of respondents nationally were fully onsite, while an additional 16.3% worked only 1 or 2 days a week from home<sup>28</sup> and would therefore be subject to the tax according

<sup>27</sup> US Bureau of Labor Statistics, TED The Economics Daily, "[80.7 percent of workers worked full-time in 2023](#)," July 11, 2025

<sup>28</sup> Barrero, Jose Maria, Nicholas Bloom, and Steven J. Davis, 2021. "[Why working from home will stick](#)," National Bureau of Economic Research Working Paper 28731



to the statements by Budget Director Guzman cited above. So an additional total of 77.9% of full time workers living outside of Chicago but working inside the city at firms with 500+ workers nationwide would be eligible for the tax or  $641,797 * 49.4\% = 317,047$ . Of the 317,047, 77.9% is our estimate of what percentage would be subject to the tax or  $317,047 * 77.9\% = 246,980$  additional workers subject to the tax. So a total of 571,729 or 43% of workers potentially subject to the head tax, which would generate \$226.4 million in revenue. However, **this is not a conservative estimate**, as noted above, since the measure is a nationwide count of 500+ employees at the firm, not just those in Chicago.

#### Estimate based on IDES Data

IDES data on employment by establishment size is reported as of March 2025 for Local Workforce Investment Areas. Cook County is LWA 7.<sup>29</sup> Data are not available for the City of Chicago by establishment size in this dataset. As shown below, the total number of private sector employees in Cook County working at establishments or worksites with greater than 500 employees is 659,056. Again, this is a conservative estimate since there are more firms that have 500 or more employees at multiple worksites throughout the city than firms that have 500 at one worksite.

|                   | Size Category | Private Sector |                  |
|-------------------|---------------|----------------|------------------|
|                   |               | # Est.         | Emp.             |
| <b>LWA 7</b>      | No Employment | 25,553         | 0                |
| formerly known as | 1 to 4        | 64,608         | 115,210          |
| <b>LWA 27</b>     | 5 to 9        | 17,277         | 115,237          |
|                   | 10 to 19      | 13,306         | 181,276          |
|                   | 20 to 49      | 9,473          | 287,116          |
|                   | 50 to 99      | 3,784          | 262,636          |
|                   | 100 to 249    | 2,547          | 387,896          |
|                   | 250 to 499    | 694            | 238,933          |
|                   | 500 or more   | 473            | 659,056          |
|                   |               | <u>137,715</u> | <u>2,247,360</u> |

However, this is for the County as a whole. We need an estimate of Chicago as a proportion of Cook County. The IDES “Where Workers Work” report from December 2025 reports private sector workers in Chicago as 1,224,952 and reports the same number of Cook County private sector workers at 2,247,360, or 54.5%.<sup>30</sup> So if we multiply  $659,056 * 54.5\%$  we get approximately 359,226 employees in Chicago at

<sup>29</sup> Available at

[https://ides.illinois.gov/content/dam/soi/en/web/ides/labor\\_market\\_information/quarterly\\_censusofemploymentwagesqcew/number-of-establishments-by-size-category-and-employment-by-lwa.xls](https://ides.illinois.gov/content/dam/soi/en/web/ides/labor_market_information/quarterly_censusofemploymentwagesqcew/number-of-establishments-by-size-category-and-employment-by-lwa.xls)

<sup>30</sup> Illinois Department of Employment Security, “Where Workers Work,” December 2025, p. 13



worksites with 500+ employees. Next, we multiply that number by 80.7% to get the full time number: 289,896. Of these, the Census data provides an estimate of approximately 51% who live and work in Chicago and so would be eligible for the tax or 146,687. Another 49% live outside of Chicago or 143,209 and we can estimate that 77.9% of these would work onsite enough to qualify for the tax, or 111,560. So a conservative total of approximately 258,247 (or 21%) yielding \$102.3 million.

So these back of the envelope calculations yield a conservative estimate of 258,247 or 21% of full time private sector employees in Chicago subject to the tax yielding approximately \$102.3 million to a less conservative estimate of 571,729 or 43% of full time private sector workers potentially subject to the head tax, which would generate \$226.4 million in revenue. **It should be noted that both the conservative and less conservative estimates assume perfect compliance, which is not likely. They also do not account for avoidance.**